The Classical Liberal Vision

From Adam Smith to the WTO: The Architecture of the Global Economy

DWA 103: Global Political Economy | Spring 2026
Based on Helleiner, The Contested World Economy, Chapter 2

SECTION 1

The 70-Year Anomaly

The post-WWII era (1950–2020) differs drastically from the preceding 7,000 years of human history. Four trend lines illustrate the correlation between liberalism and human flourishing.

Indicator	1950	2020	Trend
Global Poverty	26.8%	5.4%	Sharp decline
World Trade (% of GDP)	~20%	60%	Tripled
Democracies	Few	Many	Steady rise
Battle Deaths	High	Low	Steep decline

Key question: Is everything awesome? The data suggests correlation — but is liberalism the cause?

SECTION 2

The Causal Claim: Bottom-Up Architecture

The post-war flourishing was not magic — it was the result of specific architectural choices. Classical liberalism builds from the bottom up, rejecting top-down authoritarianism.

- **Level 1 — The Individual: Rights and reason as the foundation**
- **Level 2 — The State: Social contract, limited government, rule of law**
- **Level 3 — International System: Diplomacy, trade, and institutional cooperation**

Key foundation: The Enlightenment belief that the human condition can be improved through reason.

SECTION 3

The Architect: Adam Smith (1776)

Smith published *The Wealth of Nations* in 1776 — the same year as the Declaration of Independence. He was writing against mercantilism and empire.

- Smith did not *invent* capitalism; he observed a "natural propensity to truck, barter, and exchange."
- "The Invisible Hand" — a metaphor used only **once** in the text — describes how individual self-interest unintentionally produces collective social good. It is decentralized coordination, not magic.

SECTION 4

The Engine: How Markets Work

Smith identified three interlocking mechanisms that drive market economies:

- **Division of Labor: Decentralized coordination outperforms central planning**
- **Price Mechanism: Signals scarcity and demand automatically**
- **Competition: Incentivizes innovation and efficiency**

> *"It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner, but from their regard to their own self-interest." — Adam Smith*

SECTION 5

The Logic of Free Trade

Three arguments form the liberal case for open commerce:

- **Efficiency: Protectionism is a tax on the consumer to subsidize the producer**
- **Anti-Monopoly: Smith critiqued "rent-seeking" — using political power for economic privilege**
- **Peace: Commerce "cures destructive prejudices" and ties nations together**

SECTION 6

Three Nuances in Smith's Thinking

Nuance I: The Role of Government

- Smith was **not** a libertarian anarchist — he argued for a strong, limited state.
- State duties: defense, justice, and public works.
- **Epistemic humility:** The state should not direct the economy because no ruler has sufficient wisdom to know the needs of every individual.

Nuance II: Security over Opulence

- **The Navigation Acts Paradox:** Smith supported protectionist shipping laws for national security.

> *"Defense... is of much more importance than opulence." — Adam Smith*

- Takeaway: Liberalism prioritizes national survival over economic efficiency when necessary.

Nuance III: Smith the Anti-Colonialist

- Smith viewed colonial monopolies as a "manifest violation of the most sacred rights of mankind."
- Argued Britain should let the American colonies go and trade with them as equals.
- Condemned the East India Company as arrogant and oppressive.

> *"China is a much richer country than any part of Europe." — Wealth of Nations (challenging Eurocentrism)*

SECTION 7

Scaling Up: The Problem of Anarchy

If cooperation is beneficial, why is it so hard? The Prisoner's Dilemma explains the trap: rational states will cheat (defect) to avoid being taken advantage of, leading to a worse outcome for everyone.

		State B: Cooperate	State B: Defect
State A	**Cooperate**	Best Outcome (Mutual Gain)	Sucker Payoff
	Defect	Free Ride	**THE TRAP (Nash Equilibrium)**

Without institutions, even self-interested rational actors end up worse off than if they had cooperated.

SECTION 8

The Solution: Institutional Design

Institutions (like the WTO) do not enforce themselves — they change the incentives of the game. Four mechanisms build trust among states:

- **Information: Transparency reduces uncertainty**
- **Monitoring: Identifies cheaters**
- **Dispute Settlement: Authorizes retaliation against rule-breakers**
- **Shadow of the Future: Ensures repeated interaction — making cheating costly long-term**

SECTION 9

Domestic Politics: The 'Open Economy' Framework

States are not "black boxes." Trade policy is the result of internal battles, not unitary state decisions.

- **Layer 1 — Sectoral Interests: Winners and losers from trade (factories vs. farms)**
- **Layer 2 — Domestic Coalitions: Lobbying and voting shape outcomes**
- **Layer 3 — State Policy: Government chooses tariffs or free trade**

Source: Lake's Open Economy Politics (OEP) framework.

SECTION 10

System in Practice: The WTO

The rule of law binds even the giants. The fact that the US loses cases proves the system functions on rules, not just raw power.

Dispute	Result	Significance
US vs. China (Steel Duties)	**US LOST**	Ruled inconsistent with obligations
Antigua vs. US (Gambling)	**Antigua WON**	Small state beats superpower
US vs. Brazil (Cotton)	**SETTLED**	US paid compensation to avoid sanctions

SECTION 11

The Cracks in the System

Even proponents acknowledge unresolved tensions within the liberal order:

- **Distributive Conflict: Who actually wins? Inequality persists**
- **Universalism: "One size fits all" ignores local realities**
- **Democratic Deficit: Who elects the WTO judges?**
- **Sovereignty: Rules vs. national choice — how much autonomy do states sacrifice?**

The compass needle swings between efficiency (markets), humanity (social welfare), and context (local reality).

SECTION 12

Beyond the West: The Global Evolution of Economic Liberalism

Economic liberalism was not a unilateral European invention. Non-European thinkers in the Americas, Asia, and Africa actively localized, transformed, and independently developed liberal ideas.

- **The Cooper Paradox (US): Thomas Cooper embraced Smith's free trade but used racist arguments to defend slavery**
- **East Asia: Yan Fu and Taguchi Ukichi adapted liberalism to ensure national survival**
- **China: Chen Hongmou developed proto-liberal ideas independently, contemporary with Smith**
- **South Asia: Dadabhai Naoroji used liberal logic to critique the British "drain of wealth" from India**
- **Reverse Flow: Rammohun Roy and Olaudah Equiano shaped European liberal discourse**

Ideas moved both ways: French physiocrats like Quesnay drew on Chinese traditions. Timeline: 1776–1865.

SECTION 13

Conclusion: The Unfinished Project

The classical liberal vision rests on a triangle of interdependent pillars:

- **Markets: Coordinate, but do not rule. Security comes first**
- **Institutions: Essential to solve anarchy and maintain peace**
- **The Challenge: Balancing efficiency with humanity**

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Source: Helleiner, The Contested World Economy, Ch. 2 | Data: World Bank, Our World in Data, Polity IV